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ARUN KUMAR

PAY TO GET PAID High-end stores, like this one in New Delhi, will be charged for receiving UPI payments above Rs 2,000

▶ DIGITAL PAYMENTS

THE UPI GAMBIT

India is putting a price on the payment rail it made free even as it takes that model to the world. The economics may hold up. What happens at the counter is the test

By ANILESH S. MAHAJAN

AJAY SINGH HAS DONE THE MATHS AND DOES NOT LIKE IT. The Madhya Pradesh Petroleum Dealers Association chief reckons each of its members accepts over 100 UPI payments above Rs 2,000 in a day. From October 15, such transactions will cost them money—roughly Rs 590 a day or Rs 17,700 a month, on a business he claims earns them just half a per cent. The association members, he warns, will stop accepting UPI payments above Rs 2,000.

The new Merchant Discount Rate (MDR) is the first charge on the Unified Payments Interface (UPI) since January 2020. The government says the impact will be limited: person-to-person (P2P) transfers—accounting for 70 per cent of the total UPI transaction value—remain free, as do person-to-merchant (P2M) payments up to Rs 2,000, while vendors receiving up to Rs 1 lakh a month through a QR code are outside the charge altogether. The government puts the protected P2M transactions at 96 per cent. For P2M payments above Rs 2,000, the MDR will be 0.4 per cent of the value, capped at Rs 300 for transactions of Rs 75,000 and